

LAND ACQUISITION IN INDIA: A CRITICAL REVIEW

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1. INTRODUCTION

India is one of the fast developing economy. According to the 2011 census, the total urban population of India in 2011 is estimated at 31.16 per cent of the total population of the country. The rapid rate of urban expansion due to a rise in population and economic growth is causing major land use changes in urban areas. When large parcels of land are needed for the construction of roads, railways, canals or other public infrastructure, urban housing or any other public purpose, land is acquired compulsorily by the government on payment of compensation in accordance with land acquisition laws. (Hoda, July 2018)

2. EVOLUTION OF LAND ACQUISITION ACT IN INDIA

2.1 History of Land Acquisition in India

Land Acquisition in India refers to the process of land acquisition by the central or state government of India for various infrastructure and economic growth initiatives. The Land Acquisition Act of 1894 allowed the government to acquire the private land for public purposes, which could be used for large developmental projects like building roads, industries, mining, etc. But since its enactment, the Land Acquisition Act (1894) has been subject to controversies and violent debate. (Singh, 2016) This act failed to address some important issues such as definition of public purpose, widespread misuse of “urgency clause”, compensation, lack of transparency in the acquisition process, affected communities whose land has been acquired but not add provisions of rehabilitation and resettlement packages to framers. (shodhganga). The Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement (Amendment) Ordinance, 2014 was promulgated on December 31, 2014. The salient features of LARR - 2013 are: Social Impact Assessment, Consent of families, Market rate price (2x - 4x) and Additional Relief to SC/ST etc. (Tarun Khunger, 2015)

The 2015 bill was amended twice and second amendment bill was passed by the Lok Sabha but got stuck in the Rajya Sabha. Apart from bringing other changes, it was done primarily to include those 13 acts under the legislation which were exempted under land acquisition act. (Today, 2015). The changes brought by the 2015 second amendment bill as passed by the Lok Sabha are as follows :-

- Change in the time taken for acquiring land from 50 months to 42 months
- Changes to rehabilitation and resettlement - Amendments change this provision to ensure compulsory employment to at least one member of such an ‘affected family of a farm laborer’.
- LARR act, 2013 allowed acquisition of land for private hospitals and educational institutions. However the new bill has removed this clause.
- The amendments state that the LARR Authority must hold its hearing in the district where the land acquisition is taking place, after receiving a reference from the Collector and giving notice of this reference to all concerned parties.
- New provision says that the period after which unutilized land will need to be returned will be: (i) Five years, or (ii) any period specified at the time of setting up the project, whichever is later. (Today, 2015)

2.2 Impact of Land Acquisition Act

There are various impacts of land acquisition act, which are as follows:-

- **Impact of LARR Act, 2013 on infrastructure projects:** - Construction of public infrastructure projects is at the heart of the process of development in the country. The provisions of the LARR Act, 2013, have been made inapplicable to the enactments relating to land acquisition listed in the Fourth Schedule of the Act, and this Schedule includes legislation relating to railways, national highways, metro railways, petroleum pipelines, electricity etc. The requirement of the social impact assessment, therefore, will not apply to infrastructure projects covered by the enactments listed in the Fourth Schedule. Several infrastructure projects that fall outside the enactments listed in the Fourth Schedule would still be covered by these provisions, e.g., airports, logistics parks, state highways, and major and minor district roads etc. Implementation of these projects would be delayed, because of the need to undertake social impact assessment. (Hoda, July 2018)
- **Impact of the LARR Act, 2013 on Industrialization:** - There is consensus among policy makers in the country that if India is to significantly step up its GDP growth rate to eradicate poverty and raise the standard of living of its population to a decent level, it must revive manufacturing. In addition to the enhanced cost of land for industrialization, there is also a concern that the newly introduced procedure for social impact assessment cause delays in the acquisition of land by government for allocation to industrial units. PPP projects are affected even more because of the need to obtain the consent of 70 per cent of the land holders. There has been an apprehension that the provisions of Chapter II of the LARR Act, 2013, on social impact assessment causes delay the acquisition of land needed for the establishment of industrial corridors. (Hoda, July 2018)
- **Impact of the LARR Act, 2013, on urbanization:** - Urbanization in India is widespread in the periphery of large cities and in rural areas between urban settlements in a somewhat unplanned manner. The increase in compensation provided by the LARR Act, 2013, will facilitate acquisition. Besides, the provision in the Second Schedule to the Act that in urbanization projects 20% of the developed land will be reserved for allocation to land owners (on payment of the cost of land acquisition and the cost of development) in proportion to the land acquired is expected to facilitate acquisition. The requirement for social impact assessment may be a procedural hurdle but, the government has removed this impediment in respect of affordable housing through an amendment in the Act. (Hoda, July 2018)

2.3 Land Acquisition Policies across few states post 2013

Although the land bill, 2015 is yet to be passed by the Rajya Sabha, a number of states, viz., Andhra Pradesh, Gujarat, Haryana, Maharashtra, Tamil Nadu and Telangana have already enacted legislation amending the LARR Act, 2013, exempting or enabling exemption of land acquisition in respect of the five categories listed in the amendment bill from prior consent, social impact assessment requirements (Hoda, July 2018).

3. CRITICAL REVIEW OF LAND ACQUISITION PROVISION IN GUJARAT

The Government of Gujarat, on 1st April 2016, passed “Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement (Gujarat Amendment) Bill, 2016” in the Assembly. The Bill is aimed at making the land acquisition procedure smooth and easy, without interfering with the rights of the people whose land is acquired. (Times E. , 2016). The Gujarat Act gives the government the alternative to pay a lump

Table 1: Land Acquisition Policies Across Few States Post 2013

States	Land Acquisition Policies
Haryana	When any public purpose, for which the land acquired under the land Acquisition Act, 1894, becomes unviable on non-essential, the state government shall be at liberty to de-notify such land on such terms as considered expedient by the government including payment of compensation on account of damages if any sustained by the land owners due to acquisition. (Pioneer, 2018)
Andhra Pradesh	Land Acquisition Act 2017 would expedite the acquisition of land for projects related to infrastructure. This will also ease the land acquisition process and also prevent delay in acquiring land. The amendment provide for payment of 150% of the price fixed by the government in case of acquisition below 100 acres. (Vadlapatla, 2018)
Telangana	The new Act come as a huge help to the government as it want to acquire one lakh acres to complete all pending irrigation projects in the state. It also Aims to remove delays in land acquisition and to give compensation to oustees expeditiously. The Telangana Act keeps it open to government to pay “such lump sum amount as may be prescribed in the Rules”, instead of limiting it to 50 per cent of the compensation amount for land.
Tamil Nadu	The Act provides for the procedure to be following while acquiring land, procedure to conduct Social Impact Assessment Study and for rehabilitation and resettlement of affected families. According to the rules, the request for acquiring the land is to be made to the District Collector, who would constitute a committee of officers from Revenue, Agriculture, Forest and Public Works Departments. These officers would make field visits to the piece of land before submitting their report. As for the Social Impact Assessment Study, the Tamil Nadu government would identify or establish a State Social Impact Assessment Unit. (Hindu, 2017)
Maharashtra	The Maharashtra government has suspended introduction of a land acquisition bill that would have allowed the state to acquire land by paying four to five times the ready reckoner rate even without the consent of the land owner. Thousands of farmers had walked from Nashik to Mumbai on March 11, 2018 to protest against the state government’s failure to address their issues. They were mainly demanding implementation of the Forest Land Rights Act, 2006, which give rights to farmers and that the state should not forcibly acquire land for the High-speed Mumbai-Ahmedabad rail project and the Mumbai-Nagpur eight-lane Samruddhi corridor. (Kumar, 2018)
Rajasthan	The Rajasthan Government has diluted the concept of consent by passing two Bills which relate to land acquisition. The Special Investment Region Bill allows the Government to enter into any land, which has been declared as a Special Investment Region, and acquire the same. Its counterpart, the Rajasthan Land Pooling Scheme Bill, allows for the consolidation of small landholdings. Though there has been no direct amendment to the RFCTLARR Act, 2013 the two Bills passed by the Rajasthan Government allow it to bypass provisions of the Act. (Kohli & Gupta, 2016)
Uttar Pradesh	In Uttar Pradesh, acquisition of farmers’ land by the Centre would not be allowed at any cost and the precious land of farmers could not be taken without their will. Compensation for land acquired in urban areas will not be more than two times the market value /circle rate. Land owners will also be paid for the property, trees and standing crops on their land. If land cannot be acquired through mutual agreement then action would be taken under the provisions of the 2013 Act and the concerning government orders. (express, 2015)
Punjab	Except for Odisha and Punjab, no state has acquired land under the Land Acquisition Act of 2013. Under the policy, the land can be acquired by a deed of conveyance. The urban land acquisition will be done according to the market price notified by the government The benefits may include increase in Floor Aspect Ratio (FAR) equivalent to the cost of the land, shop or other business for self-sustenance. A house will be constructed by the Requiring Department if a house is lost while acquiring the land under the new policy. (Bureau, 2016) The house can be accommodated either within the procured area itself or on any other land belonging to the government in the vicinity. The government’s decision in this regard will be final. (Times A. , 2016)

Source: Pioneer, 2018, Vadlapatla, 2018, Hindu, 2017, Kumar, 2018, Kohli & Gupta, 2016, express, 2015, Bureau, 2016, Times A., 2016

sum equal to 50 percent of the amount of compensation paid to the land owner in lieu of R&R in two situations, (i) if an area of less than one hundred hectares is to be acquired for government's own use or (ii) whenever the land is to be acquired for projects of a linear nature such as railways, roads etc. Gujarat exempts a long list of projects from social impact assessment (SIA) and mandatory consent of landowners (Manju Menon, 2017).

The legislation empowers the state government to exempt projects "vital to national security or defense of India", "affordable housing and housing for the poor people", "industrial corridors set up by the state government and its undertakings (in which case the land shall be acquired up to one kilometer on both sides of designated railway line or roads for such industrial corridors) and infrastructure projects under public-private partnership where the ownership of land continues to vest with the government" from the application of certain provisions of the original Act. One of those original provisions deals with the social impact of the acquisition and the procedure to be followed while preparing the social impact assessment report. Another one is on the social provision to safeguard food security. (Times, 2016)

The Bill has come under sharp criticism. The amendment is on the face of it capitalist in nature and anti-farmer, it is worded in such a manner that a layman will not understand the huge repercussions of this amendment. (Times, 2016)

Gujarat amendment bill seeks to give only 50 per cent of the award declared as compensation to certain category of farmers. Less than 100 acres of acquisition for its own use would not invite the R&R clause of the principal Act. Effectively it means that the detailed steps listed in section 31 for R&R for the affected families (including alternate sites and land, mandatory employment, other rights, annuity etc.) get converted into a one-time monetary payment. Not just defense projects but amorphous "defense-related projects" are also exempt from consent and SIA. "Similarly, there is no definition acquisition for affordable housing or rural infrastructure. Even Rs 50 lakh flats can be categorized as affordable housing." (Counterview, 2016). The primary justification for the amendments, it appears, is to safeguard "investment" and "provide all basic facilities and infrastructure to entrepreneurs". LARR 2013 has never been implemented in Gujarat. On what basis was the statement that it makes land acquisition "lengthy and difficult" made? (Persis Ginwalla, 2016)

Finally, the injustice to farmers and land owners, the absence of protection to others dependent on land and commons was the primary reason for making the law stringent. It was meant to discourage land acquisition at the scale at which it was happening under the old law. To make the excuse that the process has become "lengthy and stringent" is not only stating the obvious but defying and negating the very rationale for the new law. However, it is silent on the fact that along with exemptions, projects are also exempt from consent and R&R provisions. (Persis Ginwalla, 2016)

4. SUMMING UP

Although, the Government of India has taken several initiatives to make the land available for various activities. But Land acquisition has become a toughest and time consuming task, due to the tough regulations and complexities related to acquiring land. The core issues that surround the acquisition of land in India are Litigations due to inheritance of properties, Multiple sales which have not been properly recorded, lands which have been granted to SC/ST by the Government, Land ceiling laws, Tough resettlement and rehabilitation laws etc., which results in delayed projects. Land Pooling is seen as a viable alternative to land acquisition primarily because of the difficulties involved in acquiring clear, marketable and litigation-free appropriately sized contiguous land parcels for development.

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